Employee Offboarding Procedure

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Summary. Defines how employees leave Northstar Systems: resignation, notice periods, buy-out, handover, exit interview, access removal by 18:30 IST on the last working day, asset return, leave encashment, full and final settlement within 45 days, involuntary exits, and post-exit records.

SYNTHETIC DOCUMENT - Northstar Systems is a fictional company. This document exists for development, testing and demonstration only and is not real legal, employment, security or compliance advice.

1. Purpose and Scope

This procedure sets out how an employee's departure from Northstar Systems Private Limited is managed, whether by resignation, end of probation, termination, retirement or other separation. It applies to all permanent employees from Band B1 to B7. Its goals are an orderly handover of work, protection of company information and customer data, the safe return of company assets, a respectful exit experience, and accurate and timely final payment. Legal and regulatory references are illustrative and to be verified by Legal before external use. Nothing in this procedure limits statutory rights.

2. Definitions

- **Resignation**: written notice by the employee, submitted in NorthPeople and to the reporting manager.
- **Last working day (LWD)**: the final day of service after notice or buy-out, as recorded in NorthPeople.
- **Notice period**: the period between acceptance of resignation and LWD.
- **Buy-out**: payment in place of part or all of the notice period.
- **Full and final settlement (F&F)**: the final computation of all dues and recoveries paid after the LWD.
- **Handover plan**: a written plan transferring responsibilities, knowledge, credentials and customer relationships.
- **Clearance**: sign-off by IT, Security, Facilities, Finance and the manager that all obligations are met.

3. Roles and Responsibilities

- **Employee**: submits notice, completes handover, returns assets, files outstanding claims, and signs clearance.

- **Reporting manager**: accepts or discusses the resignation, plans coverage, approves the handover plan and any buy-out, and holds a retention or transition conversation as appropriate.
- **HR Business Partner**: confirms the LWD, leads the exit interview, and approves buy-out or exceptions with the manager.
- **People Operations**: updates NorthPeople, prepares F&F inputs and issues the relieving and experience letters.
- **IT Service Desk and Security Desk**: disable access and retrieve devices.
- **Finance**: calculates and pays F&F in NorthPay, and recovers dues.
- **Facilities**: collects badges and keys and confirms desk clearance.

4. Notice Periods

Employee category	Notice period
During probation	30 days
Confirmed employees	60 days
Band B5 and above	90 days

The notice period starts on the date the resignation is accepted in NorthPeople and runs in calendar days. Notice given by the company for termination without cause follows the same periods, or pay in lieu where the company chooses to release the employee early. Band B5 and above covers B5, B6 and B7 and is the longer period in all cases.

4.1 Buy-out of notice shortfall

An employee may ask to leave before the end of the notice period. A notice shortfall buy-out is allowed with the approval of the reporting manager and the HR Business Partner. The buy-out rate is gross monthly salary divided by 30 per day of shortfall, and is recovered from the F&F payment or paid before release. The company may decline a buy-out where the employee is on a critical customer project, a SEV1 incident, or a PIP, or where handover cannot be completed.

Example: Neeraj (Band B5, confirmed) resigns and has a 90-day notice period. His gross monthly salary is INR 1,80,000. He asks to leave 30 days early. The daily rate is INR 1,80,000 divided by 30, which is INR 6,000. A 30-day shortfall costs INR 1,80,000. If the manager and HR Business Partner approve, the amount is deducted from his F&F payment.

Example: Deepa (Band B3, confirmed) has a 60-day notice period and a gross monthly salary of INR 75,000. She wants to leave 15 days early. The daily rate is INR 2,500, so the buy-out is INR 37,500.

4.2 Leave during notice

Leave during notice needs manager and HR Business Partner approval and does not extend notice automatically. Earned Leave encashment rules in HR-001 apply: up to 15 days of Earned Leave balance may be encashed on exit. Employees may not use Earned Leave to shorten the notice period unless the shortfall is approved under section 4.1. Casual and Sick Leave do not carry forward and cannot be encashed.

4.3 Withdrawal of resignation

An employee may request to withdraw a resignation before the LWD. Acceptance is at the company's discretion and needs the manager and HR Business Partner. Withdrawal is not allowed once a replacement has been hired or the clearance process has started, unless both approvers

agree.

5. The Offboarding Process Step by Step

1 **Resignation**: the employee submits the resignation in NorthPeople. The manager discusses it within 2 working days and the HR Business Partner confirms the LWD.
2 **Acknowledgement**: People Operations sends a written acknowledgement with the LWD, the notice period, and the checklist.
3 **Handover plan**: within 5 working days of acceptance, the employee and manager agree a written handover plan. It lists projects, tickets, documents, customer contacts, credentials stored in NorthVault, scheduled jobs, and open decisions.
4 **Knowledge transfer**: the employee trains the successor or team through sessions and documentation over the notice period.
5 **Access review**: the manager and system owners list all systems the employee can reach; privileged or production access is reviewed and may be removed earlier than the LWD.
6 **Exit interview**: held within the last 5 working days with the HR Business Partner.
7 **Clearance**: the employee obtains sign-off from IT, Security, Facilities, Finance and the manager, recorded in NorthPeople.
8 **Last working day**: assets are returned, access is disabled by 18:30 IST, and the employee receives a checklist confirmation.
9 **Full and final settlement**: paid within 45 days of the LWD.
10 **Letters**: relieving and experience letters are issued after F&F inputs and clearance are complete.

6. Handover and Knowledge Transfer

A good handover protects customers and colleagues. The handover document should be stored in the team's shared space, not on the leaving employee's device. For engineers it should include service ownership, runbooks, repositories, secrets locations, on-call responsibilities, and pending changes. For Customer Success and Support it should include account notes in NorthAssist, open tickets, renewal timelines and contacts. For finance and procurement roles it should include open purchase orders, approvals, vendor commitments and audit trails.

Credentials stored in personal files are prohibited; any shared credential known to the leaver must be rotated within 2 business days after the LWD. Service account credentials that the leaver managed must be reviewed, and rotation follows the standard 90-day cycle or earlier if the risk warrants it. Any customer-facing commitments must be reassigned and confirmed with the customer by the manager.

Example: Farhan (Band B4, Customer Success) resigns. His handover plan lists 12 accounts, including 3 Enterprise customers with a renewal motion starting within 120 days. His manager assigns new CSMs to each account, introduces them to the customer contacts by email in the second week of notice, and records the change in NorthAssist before Farhan's LWD.

7. Access Removal and Asset Return

7.1 Access

All access is disabled by 18:30 IST on the last working day. IT and Security remove NorthID, email, VPN (NorthTunnel), NorthVault, production access through NorthGate, source repositories and SaaS accounts, using a leaver ticket in NorthDesk raised by People Operations at least 3 working

days before the LWD. Where the employee has had privileged access, Security reviews logs for the final 30 days. For involuntary exits, access may be disabled at the moment of notification. Remote wipe is applied to any enrolled mobile device of the user for company data only. Dormant leaver accounts must not remain; any leaver account found active after the LWD is a security incident reportable to the Security Desk (ext. 5555). The access rules are set in SEC-002.

7.2 Return of assets

On or before the LWD, the employee must return the laptop, charger, badge, keys, corporate card, tokens and any other asset with a tag of the form NS-AST- followed by 6 digits. Remote employees return equipment by courier, arranged by IT, within 5 working days of the LWD; the cost is borne by the company. Devices go through a data wipe and certification. Lost or damaged assets must be reported to the IT Service Desk within 24 hours, and recovery for negligence may be made after HR review. Unreturned assets may be deducted from the F&F at their book value, after notice to the employee. See OPS-007.

7.3 Information and confidentiality

The employee must delete company data from personal devices or accounts, must not take customer lists, source code, documents or credentials, and remains bound by the confidentiality and intellectual property obligations in the employment agreement. Security may ask the employee to sign a declaration. Suspected data exfiltration is escalated to the Security Desk and Legal.

8. Exit Interview

An exit interview is held within the last 5 working days with the HR Business Partner, in person or by video. It is confidential and aims to understand reasons for leaving, manager and team feedback, and risks to customers or colleagues. Themes are reported to leadership in aggregate without names. Participation is expected but not mandatory. If the employee describes harassment, retaliation or a legal risk, the HR Business Partner must report it to the appropriate committee, for example the Internal Committee, and follow the process in HR-002.

9. Full and Final Settlement

9.1 Timeline

F&F is paid within 45 days of the last working day, through NorthPay to the employee's bank account. People Operations sends the inputs in the first week after LWD, and Finance prepares the statement and shares it with the employee for review.

9.2 Components

Component	Treatment
Salary up to the LWD	Paid pro-rata for days worked
Earned Leave encashment	Up to 15 days at gross monthly salary divided by 30 per day
Variable pay	Pro-rata only as per the plan terms and eligibility rules; paid at the next scheduled cycle if eligible
Gratuity	As per applicable law (illustrative)
Reimbursements	Approved and filed claims, including travel claims under HR-004
Recoveries	Notice shortfall buy-out, unreturned assets, unsettled advances, learning clawback, excess leave

Component	Treatment
Statutory deductions	Provident fund, tax deducted at source as applicable

9.3 Recoveries

The learning budget clawback applies if a programme costing more than INR 25,000 was completed within the last 12 months: the employee repays a pro-rata share of the programme cost. Referral bonuses already paid are not recovered, but a bonus is not payable if the referred hire has not completed 6 months. Excess leave taken beyond the balance is treated as loss of pay and recovered. All recoveries are itemised in the F&F statement, and the employee has the right to query them with the Finance Desk (finance@northstar-systems.example) within 10 working days of receiving it.

Example: Manoj (Band B4) leaves with 22 Earned Leave days, a gross monthly salary of INR 1,20,000 and an unsettled travel advance of INR 20,000. Earned Leave encashment is capped at 15 days: 15 x (INR 1,20,000 divided by 30) = 15 x INR 4,000 = INR 60,000. The advance of INR 20,000 is recovered, so the net adjustment is INR 40,000 plus pay for days worked in the final month, subject to statutory deductions. The remaining 7 days of Earned Leave lapse.

9.4 Retained records

Employee records are retained for 7 years after exit, and payroll records for 8 years. Documents such as the relieving letter, experience letter, Form 16 and the provident fund transfer information are issued after the F&F inputs are complete (illustrative; verify with Legal and Finance).

10. Involuntary Exits and Special Cases

10.1 Termination for misconduct

Termination follows the disciplinary ladder in HR-002 and a fair inquiry, including a show-cause notice with a reply due within 3 working days and the right to appeal to the Chief People Officer within 7 calendar days. In cases of gross misconduct such as fraud or serious data breach, Security may disable access immediately, and the employee may be asked to leave the premises with an escort to collect personal belongings. Notice pay may not apply as per the employment terms.

10.2 Termination during probation and PIP failure

An employee on probation may be terminated with 30 days' notice or pay in lieu. An employee who does not complete a 60-day Performance Improvement Plan successfully may be separated with the notice period applicable to their category. The HR Business Partner must review documentation before such a decision.

10.3 Redundancy and restructuring

Where roles are eliminated, the company follows applicable law and the terms of the employment contract, with consultation and a severance package set by the Chief People Officer and CFO (illustrative).

10.4 Death in service

The HR Business Partner contacts the family with sensitivity, arranges payment of F&F, group term life cover (3 times annual fixed pay), personal accident cover where applicable (INR 10,00,000),

and statutory benefits. Access is disabled immediately and assets are recovered with care.

10.5 Absconding

If an employee is absent without notice for more than 5 consecutive working days and cannot be reached after three documented attempts by the manager and HR Business Partner, a notice is sent to the registered address. After the reply period passes, People Team may treat the case as abandonment of service, and the notice shortfall may be recovered from dues.

11. Alumni and Rehire

Employees who leave in good standing may be added to the alumni network. Rehire eligibility is recorded in NorthPeople and depends on performance, conduct and the circumstances of exit. A rehired employee is treated as a new joiner, with a new probation, and leave balances do not carry from the earlier period, though past service may be recognised for benefits as decided by the Chief People Officer.

12. Exceptions and Escalation

Managers should remember three practical points. First, the LWD is fixed by the notice period and any approved buy-out; it cannot be moved informally by the manager. Second, a resignation does not remove the employee's obligations: until the LWD the person remains bound by the code of conduct, the security policies and the confidentiality terms. Third, a counter-offer or retention discussion must not delay the handover plan, which should start within 5 working days of acceptance regardless.

Exceptions, such as waiving a notice shortfall, extending the F&F deadline for a verified cause, or allowing early release for a family emergency, need written approval from the reporting manager, the HR Business Partner and, for Band B6 and B7, the Chief People Officer. Disputes about F&F are raised with the Finance Desk first and then escalated through the grievance route in HR-002. Questions on exit may be sent to the HR Helpdesk (hr-helpdesk@northstar-systems.example).

13. Related Documents

- SEC-002 sets access management requirements, including disabling leaver accounts by 18:30 IST on the last working day.
- OPS-007 covers asset and facilities clearance.
- HR-010 covers records and the post-exit retention of employee information.
- HR-001 covers Earned Leave, encashment and leave during notice.
- HR-004 covers claims and advances that must be settled at exit.

14. Revision History

Version	Date	Change	Approved by
1.0	2025-02-10	First issue of a standalone offboarding procedure	HR Business Partner Lead
1.1	2025-11-18	Added handover plan content, F&F component table and asset return by courier	HR Business Partner Lead